foreign currency assets also form part of foreign currency assets.

Gold Stock of RBI

The RBI has gold stock as a back up to issue currency and to meet unexpected balance of payment problem. Its value is expressed in terms of US Dollar or Indian Rupee.

SDR Holdings

SDR is a reserve created by International Monetary Fund (IMF) to help countries that have Balance of Payment problem. The member countries have to contribute to this account. The contribution is in proportion of their IMF quota (membership fee).

The detailed explanation of SDR is followed by next topic namely Reserve Tranche.

Reserve Tranche

Tranche means portion or slice. Reserve tranche means a portion of fund. It consists of India's quota (member subscription fee) to IMF and lending to General Resource Account of IMF. General Resource Account is the pool of member counties' quota payment.

A member is required to pay 25 per cent of its quota in SDRs or in foreign currencies acceptable to the IMF (*i.e.*, hard currencies). This is termed "reserve position in the IMF or reserve tranche" and is part of the member country's reserve assets. If any money was lent in foreign currency or SDR over and above the quota to IMF's General Resource Account it also form part of reserve tranche.

SDR

SDR has two dimensions. One, it is an exchange rate system and another it is a loan arrangement.